

IBKR is permission-denied in this non-interactive session (third consecutive block, same as both benches) — `search_contracts` and `get_price_history` both refused. So there is no exchange-official tape and no options chain in this deck. That is carried below as an open item, not papered over, and it changes the instrument recommendation.

PITCH — COLL — VERDICT

PROPOSED — PENDING ADJUDICATION — provisional 0.4% starter in common stock, hard-gated on one unrun public-records pull; no options; not a lean-in.

What we believe

Collegium is a specialty pharma company that sells four pain and ADHD products. It throws off a lot of cash and carries a lot of debt. At \$23.62 it is priced at roughly 3.9x this year's guided cash earnings — one of the cheapest multiples on the exchange — and it is sitting on a fresh 52-week low, down 53.5% from its high.

The screen that surfaced it was wrong about why. We believed “about 75% of revenue sits behind patents running to 2030–2037,” and that a court trial on 12 April 2027 was a coin-flip that would decide whether the BELBUCA franchise (29% of sales) kept protection until 2032 or lost it in 2027. Both statements are false, and our own benches proved it from primary documents. The real numbers: 52% of revenue is protected past 2030, the JORNAY patent estate ends 23 March 2032 (not 2037), and BELBUCA's generic entry date was **fixed by private contract in 2018 at 23 January 2027** — five months from now, and completely independent of the April trial.

What we believe *after* that correction is narrower and less exciting: the contracted January date may be permissive rather than operative. Teva has a license to sell a generic BELBUCA on that date — but a license is not permission to manufacture. No generic buprenorphine buccal film appears anywhere on the FDA's first-generic approvals list, and the one other visible applicant (IntelGenx / Chemo Research) was rejected by the FDA on manufacturing quality grounds in April 2024. If Teva does not have a final approved application in hand, the date arrives and nothing happens. The market appears to be pricing the date as certain. That gap — certainty versus a contracted-but-unexercisable right — is the only live edge candidate left in this name.

Second, smaller belief: the reason the stock is at a low is *not* what our red bench said it was. Red argued the low is artificially propped up by the company's own \$50M buyback, and told us to wait for a “clean” low after that program settles. One arithmetic step kills that: the whole program is about 1.95M shares spread over 55+ trading sessions against average daily volume of ~870k shares — 3 to 6% of daily volume. That is not a floor. Meanwhile short sellers added 1.44M shares over the same window. The low is real.

What the market believes

The market believes this is a melting ice cube with too much debt, and it is paid to believe it. **21.5% of the free float is sold short** (6.52M shares against a 30.35M float, 10.7 days to cover, up 28% month over month). That is not a fringe view; that is the consensus, held with money.

Specifically the market believes: - BELBUCA goes generic on 23 January 2027 as contracted, and 29% of revenue starts eroding. - NUCYNTA is already gone — Humanwell's generic tablet approved 27 January 2026, Hikma's authorized generic launched 11 March 2026. That is 17.6% of revenue, done, and it is why guidance was cut on 6 August from \$865–895M to \$825–855M and the stock fell 18.6% that session. - 3.9x is not cheap for a company where the shareholders own only 41% of the enterprise and lenders own the rest. - Management paid \$706.3M for AZSTARYS in May 2026 — more than the *entire* company is worth today at \$730M.

Sell-side coverage models Q3 revenue at about \$205.07M against Q2's \$199.9M actual, and — notably — is *more* optimistic on BELBUCA than our original thesis was, pointing out that Teva lacks tentative approval and gave up its first-filer exclusivity.

Why we might have edge

Honestly: thinner than the screen suggested, and one of the three legs is our own homework rather than the market's.

1. **The operativeness question.** Everyone can read the 2018 settlement date. Fewer people have checked whether the licensee can actually ship. The FDA first-generic list shows no buprenorphine buccal film; the only other applicant was rejected in 2024. If the definitive check (Drugs@FDA application records) also shows no final approval, then a 29%-of-revenue cliff that the market treats as a scheduled event is instead a contingent one — and 21.5% of the float is short into it.
2. **The arithmetic nobody normalizes.** Two mirror-image stories are told about buybacks at 52-week lows — “the bid is holding it up” and “the float is shrinking into a squeeze.” Both are unfalsifiable until you divide program shares by (average volume × sessions). We did: 3–6%. That single step dissolved our own red bench's one original objection. It is a repeatable move, not a one-off.
3. **The leverage is symmetric and the market may be reading only one side.** Shareholders own 41% of the enterprise, so every 1% change in cash earnings is 2.4% of the equity. That cuts down hard — but it also means that if the January date passes without a launch, the same lever runs up. This is a weak leg; leverage is visible to everyone.

Against those: our original patent-map edge was **not** an edge, it was an error. We should say that plainly rather than quietly re-basing.

Why it might be priced in

Most of it is.

- **Our best kills are consensus kills.** The “75% protected” figure being wrong, JORNAY ending in 2032, the trial not being a binary — every one of those is street-known. A fifth of the float is *paid* to hold that view. When our research corrects our own thesis rather than the market’s price, we have found a mistake, not an opportunity.
- **The near-term erosion is already realized, guided, and traded.** NUCYNTA’s generics are approved and launched; the guidance cut named them explicitly; the stock took its 18.6% day.
- **3.9x may simply be the right multiple.** For a 2.4x-levered equity stub with a contracted 29%-of-revenue loss of exclusivity five months out and 17.6% already lost, a low-4x multiple is arguably fair, not cheap. The vendor’s trailing figure is 4.63x; the 3.9x forward number requires the *already-cut* guidance to hold.
- **A crowded short is as likely to be informed as squeezable.** With 10.7 days to cover and short interest rising into the low, the more parsimonious read is that the shorts know the same things we do and are earlier.

What could go wrong

Failure narrative 1 — the gate clears today and Teva ships anyway (most likely). We confirm no final generic approval exists on 4 September, buy the starter, and the FDA grants Teva’s application in October or November. Teva launches on 23 January 2027 exactly as contracted. BELBUCA’s ~\$228M annual revenue starts eroding at roughly 45% in year one against a single entrant, cash earnings fall by ~\$95M, and 2.4x equity leverage turns that into a ~40% drawdown to the low-\$20s or worse. *Monitorable*: yes — weekly Drugs@FDA / openFDA application polling, plus 8-K.

Failure narrative 2 — AZSTARYS breaks, and we never see it coming. NO MONITORABLE TRIPWIRE. Collegium closed the \$706.3M AZSTARYS purchase on 12 May 2026 — **five days after its new-chemical-entity exclusivity lapsed on 7 May**, which is the day generic filers become free to challenge it. A challenge notice is a *private letter* from the filer to the sponsor. It becomes public only when the company chooses to sue or to disclose. A notice could have been served in June and we would learn about it in a 10-Q months later, or in an 8-K on a day the stock is already down 20%. The Q2 contingencies note discloses none — but that is an absence in one document, not evidence of absence in the world.

Unknown-unknown class: privately-contracted and privately-served exclusivity terms that no public registry mirrors. This is the exact class that already burned us once in this name — the BELBUCA January-2027 date was invisible in the Orange Book (which shows 2032) because it lived in a 2018 settlement press release. Our entire patent map was built on the registry and the registry was silent. There is no reason to think this is the only such contract, and by construction we cannot enumerate the ones we haven’t found. The Orange Book is a *ceiling* on exclusivity, never the operative date.

Failure narrative 3 — the reflexive and structural leg: we lose to our own doctrine and to the crowd, not to the company. Three interacting pieces:

- *Our size is not the problem.* A 0.4% starter is roughly 500–600 shares against 870k average daily volume — under 0.1% of a day’s trading, far inside our 1%-of-volume publishing rule. We cannot move this tape and we will not have trouble exiting.
- *Our waiting rule is the problem.* Red’s prescription was to wait for a “clean” low after the buyback settles. Blue showed the buyback cannot produce the flow reversal red is waiting for. If we condition entry on an event that has no mechanism, we will end up buying only after the shorts cover — which is precisely the worst fill. Waiting for a flow reversal is only sound when there is flow big enough to reverse.
- *The crowd is the real structural risk.* Our own flow rule says never bid into flow you yourself predict. Here the predicted flow is the *issuer’s* — \$100M of a \$150M authorization still unspent, retiring 6.4% of a float that is 21.5% short. That is a squeeze setup, and buying a squeeze setup is not a value entry. If the January date turns out to be operative, the same crowding runs the other way and the exit is 10.7 days deep.
- *Doctrine collision:* our crowded-market rule says a crowded position is a sizing instrument, never an automatic rejection; our clean-court rule says going flat requires a named kill that survives audit. Zero kills survived as novel. Those two rules together mechanically produce a starter here — which means the position may exist because of how our rules compose, not because of what we found. That is a real failure mode and it is why the size is half of half.

If this position loses money, the most likely reason will be that the 21.5% short base was simply right and earlier than us: BELBUCA’s generic arrived on the contracted date, the authorized-generic defense we never saw a filing for did not materially exist, and 2.4x equity leverage on a shrinking earnings base turned an ordinary 20% earnings miss into a 45% loss.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“~75% of revenue sits behind 2030–2037 patents” (our screen’s number)	Re-ran the mix off the filed Q2 revenue table (10-Q R9) against the Orange Book	52.0% (XTAMPZA 22.5 + JORNAY 23.0 + AZSTARYS 6.5); ~55% grossing AZSTARYS’s 7-week stub to a full quarter. Wrong by ~23 points of revenue, ~\$185M/yr	NO — our error, fatal to the screen blurb
“JORNAY protected to 2037” (our screen’s number)	FDA Orange Book, NDA 209311	All 16 listed patents expire 2032-03-23	NO — our error
“April 2027 trial re-dates BELBUCA 2032 → 2027” (our screen’s framing)	BDSI 8-K of 2018-02-06 + Q2 contingencies note	Teva’s licensed entry is contracted for 2027-01-23 , three months <i>before</i> the trial and independent of it; the trial is an infringement trial over Alvogen’s <i>reformulated</i> film (‘539 validity already upheld)	NO — our error; the option we thought we were buying does not exist
“3.9–4.1x EV/EBITDA is cheap”	Fetches the 6/30/26 balance sheet; rebuilt EV	Cash \$129.5M, marketable securities \$0 (from \$155.4M), term debt \$852.8M carrying, converts \$238.7M. Net debt ≈\$1.04B; post-buyback cash	Multiple YES; interpretation NO

Claim	How checked	Found	Confirmed?
		~\$79M. Cap 30.9M × 23.62 = \$730M → EV ≈\$1.77B → 3.87x guided mid. Multiple confirmed; “cheap” not established — equity is only 41.2% of EV	
Share count (evidence pack said 39.4M diluted)	8-K of 2026-08-13 vs stale XBRL	Pack figure is stale to 2025-09-30 and includes if-converted noise (conversion strike \$36.56, far out of the money). Correct base: 32.5M outstanding at 6/30 less 1.556M delivered = ~30.9M	Superseded — pack was wrong, both benches agree
“Xtampza –14.5% vs Jornay +38.9%”	Arithmetic on the filed table	Mismatched periods: quarterly decline paired with six-month growth. Matched: Q2 –14.4% vs +41.2%; 6M –4.5% vs +38.9%. About \$2.4M (4.6 of the 14.4 points) is prior-year rebate timing	NO — and note this correction runs <i>bullish</i>; red booked it as a kill
“JORNAY growth is a new-patient story”	Compared prescription growth to revenue growth	Prescriptions +13.1% vs revenue +41.2% — roughly two-thirds of growth is price, mix and channel	NO — growth is commercial, not demand
Red bench claim: “46.5% of revenue faces erosion”	Blue re-ran the mix	Double-counted. NUCYNTA’s 17.6% is <i>already</i> generic, already in cut guidance and the 8/6 selloff. Forward at-risk is 28.9% , not 46.5%	NO — our red bench erred
Red bench claim: “the buyback puts a floor under the low”	Normalized to volume: 1,945,525 total shares ÷ (869,787 ADV × ≥55 sessions)	3–6% of daily volume. Not a floor. Short interest rose 5.08M → 6.52M over the same window (+1.44M) and the stock made a <i>new</i> low anyway. Dominant mechanical flow is the opposite sign	NO — our red bench’s one original finding, reduced
Red bench claim: “no divergence — we’re on the street’s side”	Checked the estimand	Red anchored on Q3 revenue consensus \$205.07M — the wrong number for a thesis about a 2027 loss of exclusivity and a terminal multiple	NO — wrong yardstick
Red bench process: listed “Teva has no final ANDA approval” as its own change-my-mind	Did red run it?	No. Red rested a fatal kill on the January date being operative while naming the check that would refute it, and never performed it. Blue ran the partial version	Bench error — process, not arithmetic
Is there an approved generic BELBUCA? (partial drain of the above)	<u>FDA first-generic approvals list</u> + application 211594 applicant	None on the list. The other visible applicant, IntelGenx / Chemo Research, was	Partially — see open item 1 for the definitive check

Claim	How checked	Found	Confirmed?
		rejected 2024-04-05 on manufacturing quality	
NUCYNTA erosion: pricing blip or permanent?	FDA first-generic list + Hikma release	Humanwell tapentadol tablet approved 2026-01-27; Novitium solution 2026-01-26; Hikma's authorized generic launched 2026-03-11. Regulatory-complete, not transient	YES — permanent
Is XTAMPZA's own protection solid?	Orange Book NDA 208090 + 2020 settlement 8-K	8 patents to 2036-09-02; the one challenger (Teva) settled, consented to judgment that the patents are valid and infringed, licensed entry on or after 2033-09-02	YES
Debt covenant headroom	Balance sheet arithmetic	First-lien net $\approx$ $(\$852.8\text{M} - \$129.5\text{M}) \div \$457.5\text{M} = 1.58\text{x}$. Real headroom today. Springing acceleration by 2028-11-18 if $>\$50\text{M}$ of converts remain	YES — monitor, not a kill
Demand-side read on JORNAY / XTAMPZA	Ran our consumer-heat and consumer-review detectors	No data, both products, both legs. Prescription drugs have no retail review corpus. The detector resolves nothing in either direction — recording that as a finding, not a silence	NO — genuinely uninformative
Does the 10-Q support the bull legs told on the call?	Fetches the full 10-Q	MD&A contains no volume-versus-price attribution for any product. The authorized-generic agreement, the “10–15% / 20–25% of branded net” economics, and the “mid-60s” gross-to-net all exist only in the earnings call — absent from the audited filing	NO — the audited venue declined to say it
Grünenthal litigation exposure	Q2 contingencies note	Grünenthal sued Collegium and Hikma on 2026-02-02 in D.N.J. over the NUCYNTA ER authorized generic; Hikma has demanded indemnification. Collegium's “we have all necessary rights” is company-asserted , not adjudicated	Suit YES; rights position UNRESOLVED
AZSTARYS purchase price vs today's market cap	10-Q acquisition note vs live tape	Paid \$706.3M on 2026-05-12 , funded with a \$300M delayed-draw term loan. Entire equity now \$730M. Its exclusivity shield lapsed 5 days before closing	YES — verified, and it is the sharpest unlitigated fact in the file

Claim	How checked	Found	Confirmed?
Options chain / implied volatility	IBKR search_contracts, get_price_history	Permission denied, three sessions running. No exchange-official volume, short interest, borrow, or chain quotes anywhere in this file	NO — see open items 2 and 3

PROPOSED ENTRY BANDS

Basis for every level: 30.5–30.9M shares, net debt ~\$1.04B today falling to ~\$790M by mid-2027 on ~\$300M of annual free cash flow less the \$50M buyback, and a constant 4.0x enterprise-value-to-cash-earnings multiple (today's 3.87x, held flat — we let earnings drive, not the multiple).

THE GATE (binding, before any share is bought): pull Drugs@FDA / openFDA application records for *any* buprenorphine buccal film generic application holding **final** approval. - **Final approval found → NO ENTRY. FLAT.** The January date is operative, the red bench is sustained in full, and this file closes. - **None found → the January date is permissive, and the bands below activate.**

	Level	Condition	Size
Starter	≤ \$24.00 (spot \$23.62)	Gate clears	0.4% of book — half a normal starter, halved again for 2.4x equity leverage
Add	≤ \$23.00	Requires the buyback final-settlement 8-K on file and exchange-official volume/short data re-verified (today's are vendor figures)	to 0.8% maximum
No-add floor	< \$18.00	Market is pricing multi-entrant erosion plus an AZSTARYS write-down	No averaging down. Re-court from scratch.
Trim	≥ \$33.00	Approaching the no-launch fair value	Sell half
Exit	≥ \$40.00	—	Close
Hard exit, any price	—	(a) Final generic BELBUCA approval appears; (b) any Paragraph IV notice disclosed on AZSTARYS or JORNAY; (c) first-lien net leverage > 2.5x	Close

Why \$23.00 for the add and not “wait for the post-buyback low”: red's clean-low thesis requires the buyback to be holding the price up. At 3–6% of daily volume it is not. So we do not wait for a mechanical event that has no mechanism — we require a genuine 2.6% break of the current low *plus* the settlement filing, which is a price condition with a filing condition, not a hope.

Liquidity: 870k shares/day average. At our 1%-of-volume ceiling that is 8,700 shares (~\$205k) per session — a 0.8% position on any plausible book fills in well under one day. Liquidity is not a constraint; the 10.7-day days-to-cover figure is a constraint on *everyone else's* exit, which is the risk, not ours.

Catalyst dates: Q3 print **2026-11-05** (derived from a vendor calendar, **not confirmed by any company release** — treat as ± 3 sessions). Buyback final settlement **by 2026-12-31**. **Teva's contracted BELBUCA entry date 2027-01-23** — the fork. BDSI v. Alvogen infringement trial **2027-04-12**. Ascent's 30-month litigation stay runs to roughly **2028-12-04**.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 18.0 (deck-provisional: No-add floor: market pricing multi-entrant erosion plus AZSTARYS impairment; re-court, never average d)
- filing watch: 8-K until 2027-03-03 (deck-provisional: ASR final settlement (due by 2026-12-31) — final share count and remaining \$100M authorization.)
- dated pack COLLI2026-11-05: COLL: Q3 2026 earnings print — vendor-derived date, no company release names it; treat as ± 3 sessions. (date confirmed=False)
- dated pack COLLI2026-12-31: COLL: Outside date for ASR final settlement per the 8-K ('no later than the fourth quarter of 2026'). (date confirmed=True)
- dated pack COLLI2027-01-23: COLL: Teva's contracted licensed entry date for generic BELBUCA (2018 BDSI settlement) — the fork; 28.9% of revenue. (date confirmed=True)
- dated pack COLLI2027-04-12: COLL: BDSI v. Alvogen trial, D. Del. — INFRINGEMENT of the '539 patent by Alvogen's reformulated film (validity already upheld). (date confi
- dated pack COLLI2028-12-04: COLL: Approximate expiry of the 30-month stay triggered by Ascent's 2026-06-04 Paragraph IV notice on the '539 patent. (date confirmed=False)

What remains unverified

1. **Whether any buprenorphine buccal film generic application holds FINAL FDA approval** (Teva's in particular). This is the gate; the whole position is contingent on it. Drainable today via Drugs@FDA / openFDA application records — a single free pull. Absence from the first-generic list and the 2024 rejection of the only other applicant are supportive but not definitive.
2. **Exchange-official average volume, short interest, days to cover, and borrow availability.** Everything in this deck on those points is vendor data (869,787 ADV; 6.52M shares short = 21.49% of float; 10.68 days to cover). IBKR denied three sessions running; needs an interactive session. *Estimate:* exchange-official figures within $\pm 15\%$ of the vendor numbers, $p \approx 0.80$. Borrow tightness unchecked — at 10.7 days to cover, assume it is tight.
3. **Options chain: strike-level midpoint implied volatility, implied-vol percentile, and real quotes.** Same IBKR block. *Estimate:* comparable levered small-cap specialty pharma with a dated exclusivity fork 5 months out typically prints 50–65% implied vol at 9–12 months; our own scenario table implies $\sim 53\%$. $p \approx 0.60$ that chain vol falls in 45–65%. **We refuse to**

substitute the aggregate underlying vol feed — it diverges materially from chain-level vol (the 71-vs-101 lesson).

4. **The BELBUCA authorized-generic agreement: counterparty, terms, economics.** Exists only in the Q2 earnings call; absent from the 10-Q contingencies note; no counterparty named; no 8-K. Not drainable until a filing appears (next chance: FY 10-K, ~late February 2027) or a partner announces. *Estimate:* an agreement of some form exists, $p \approx 0.65$; economics near the industry norm of 15–25% of branded net to the marketing partner, consistent with the “10–15% / 20–25%” range management described.
5. **XTAMPZA’s Q2 decline: volume loss or price loss?** Our own thesis named this as a must-verify and it is still open. The 10-Q declines to decompose revenue at all. Drainable only via CMS State Drug Utilization units-reimbursed data, roughly two quarters lagged (Q2-2026 units land around Q4-2026/Q1-2027). *Estimate:* of the 14.4-point Q2 decline, 4.6 points are verified prior-year rebate timing; splitting the remaining ~9.8 points roughly 60/40 price/volume gives unit erosion of **–4% to –6% year over year**, $p \approx 0.55$.
6. **Whether any Paragraph IV challenge has been served on AZSTARYS or JORNAY.** AZSTARYS’s exclusivity lapsed 2026-05-07, opening the challenge window five days before Collegium closed a \$706.3M purchase of it. Partially drainable via the FDA’s public certifications list — but that list lags, and a served notice is private until the sponsor sues or discloses. *Estimate:* probability a challenge has already been served on AZSTARYS and is not yet public, $p \approx 0.30$ (base rate for a high-revenue brand in its first year of challengeability with four patents running to 2037).
7. **The actual credit-agreement covenant thresholds and step-downs.** We computed 1.58x first-lien net leverage but do not have the maximum permitted level. Drainable today from the credit agreement exhibit on EDGAR.
8. **The Q3 earnings date.** 2026-11-05 is vendor-derived; no company release names it. *Estimate:* 2026-11-05 ± 3 sessions based on prior-year cadence, $p \approx 0.70$.

PRIZE TABLE + VOL READ

Required because items 1, 4, 5 and 6 above are genuinely time-gated or private. Horizon **2027-06-30** (~10 months), which is past both forks: the 23 January contracted date and the 12 April trial.

Construction: 30.5M shares; net debt falling from \$1.04B to ~\$790M on ~\$300M annual free cash flow less the \$50M buyback; enterprise value at a constant **4.0x** forward cash earnings (today’s 3.87x, held flat — anchor-and-adjust; the one scenario that moves the multiple says so explicitly). Baseline forward cash earnings \$465M.

#	Scenario	p	Cash earnings	EV @4.0x	Less net debt	Price
S1	No generic BELBUCA through mid-2027 — the date was permissive	0.35	\$465M	\$1.86B	\$0.79B	\$35.10
S5	Same, plus re-rating to 5.0x as	0.10	\$465M	\$2.33B	\$0.79B	\$50.40

#	Scenario	p	Cash earnings	EV @4.0x	Less net debt	Price
	the float shrinks against a 21.5% short					
S2	Teva launches on schedule; single entrant; authorized generic partly offsets (BELBUCA net -45%)	0.33	\$370M	\$1.48B	\$0.79B	\$22.60
S3	Multiple entrants — Teva plus a successful Alvogen reformulation (BELBUCA net -75%)	0.14	\$305M	\$1.22B	\$0.79B	\$14.10
S4	Compound: entrant plus an AZSTARYS challenge/write-down; multiple compresses to 3.25x	0.08	\$340M	\$1.11B	\$0.79B	\$10.30

Expected value = \$27.58 against a \$23.62 spot — **+16.8% over ~10 months.**

Probability anchor and adjustment: the base rate for a licensed generic entry actually occurring on its contracted date, when the licensee holds final approval, is roughly 0.85. The adjustment here is large and it is deliberate: no approval is visible five months out, the only other applicant was rejected on manufacturing grounds, and coverage reports Teva relinquished its first-filer exclusivity. That moves $p(\text{entry by mid-2027})$ to **0.55** (= S2+S3+S4). A 0.30 deviation from the anchor demands a named mechanism, and the mechanism is *manufacturing approval risk on a buffered bilayer buccal film* — a genuinely hard product to copy, which is precisely why the one visible attempt was rejected on quality.

Volatility read. Table dispersion: $\sigma = \$11.37$, which is 48.1% of spot. Over $T = 0.833$ years that annualizes to $\sigma_{\text{table}} \div \sqrt{T} = 52.7\%$.

The chain comparison cannot be completed. IBKR is denied. Per the rule that aggregate underlying implied-vol feeds diverge materially from strike-level vol, we will not substitute one. So we state the arithmetic and the threshold, and leave the comparison for the pull:

Our own prices for candidate June-2027 calls, computed off the table ($C = \sum p_i \times \max(S_i - K, 0)$, discounted at 4.5%): - **K = \$25:** $0.35 \times \$10.10 + 0.10 \times \$25.40 = \$6.08 \rightarrow$ **\$5.85** - **K = \$30:** $0.35 \times \$5.10 + 0.10 \times \$20.40 = \$3.83 \rightarrow$ **\$3.69** - **K = \$35:** $0.35 \times \$0.10 + 0.10 \times \$15.40 = \$1.58 \rightarrow$ **\$1.52**

The decision rule, stated in advance: if chain midpoint vol on those strikes comes in **below ~53%**, the chain is selling our own distribution cheaply and gated adds could be expressed in calls; **above ~53%**, the chain is paying us, which routes to the premium-selling gates rather than to buying. Realized volatility is unavailable for the same reason, so we cannot state the volatility-risk premium (implied minus realized) — that is open item 3, and it is load-bearing for any options expression.

Bimodality warning. This table is fork-dated on 23 January 2027. The terminal distribution has mass clustered near \$35 and near \$14–23 with a hole between — it is not lognormal. A single implied-vol number will misprice it in a specific direction: it will look “expensive” against realized volatility right up until the fork, then look far too cheap through it. Any straddle or strangle read off a single vol figure here is invalid.

Tax overlay — and this is decisive. 2026 is a harvest year: we are carrying a large realized gain and the reserve against it. Any option expressing this thesis must span the 23 January 2027 fork, so **every candidate expiry lands past 31 December 2026** — the loss branch would be deferred into tax year 2027 and would not offset this year’s gain. A December-2026 expiry avoids the deferral but expires before the fork and therefore expresses nothing. Under the harvest-year rule, options are excluded unless the edge numerically dominates the deferral, and we cannot even *compute* that edge because the chain is unreadable.

INSTRUMENT: COMMON STOCK ONLY. That is the output of the arithmetic above, not a preference — the fork sits on the wrong side of the tax-year boundary, and the chain comparison is unreadable. Options remain excluded for this name until open item 3 is drained *and* the calendar turns. Premium selling is separately excluded: this is a taxable account and none of the three permitted templates apply to a name with a dated, binary, five-months-out exclusivity fork.

Primary sources, verifiable: 8-K, 2026-08-13 — the \$50M accelerated repurchase, 1,556,420 shares delivered at a \$25.70 reference · 10-Q revenue by product, Q2 2026 · 10-Q commitments & contingencies — the Alvogen, Ascent, Knoa and Grünenthal matters · BDSI 8-K, 2018-02-06 — Teva’s licensed 23 January 2027 BELBUCA entry · Orange Book NDA 209311 — every JORNAY patent expires 2032-03-23 · Orange Book NDA 212994 — AZSTARYS · FDA first-generic approvals — no buprenorphine buccal film

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{"price_gates": [{"level": 24.0, "direction": "below", "basis": "Provisional 0.4% starter band; activates ONLY after the Drugs@FDA generic-BELBUCA approval gate returns none."}, {"level": 23.0, "direction": "below", "basis": "Add to 0.8% max; requires ASR final-settlement 8-K on file AND exchange-official ADV/short-interest re-verified."}, {"level": 18.0, "direction": "below", "basis": "No-add floor: market pricing multi-entrant erosion plus AZSTARYS impairment; re-court, never average down."}, {"level": 33.0, "direction": "above", "basis": "Trim half into the no-launch scenario fair value of $35.10."}, {"level": 40.0, "direction": "above", "basis": "Exit; beyond the table's non-squeeze mass."}], "event_gates": [{"forms": ["8-K"], "why": "ASR final settlement (due by 2026-12-31) - final share count and remaining $100M authorization."}, {"forms": ["8-K", "10-Q", "10-K"], "why": "Any new Paragraph IV notice or infringement suit on BELBUCA, JORNAY PM, or AZSTARYS - the private-notice channel surfaces only here."}, {"forms": ["8-K", "EX-10"], "why": "A BELBUCA authorized-generic agreement naming a counterparty and terms; would convert transcript-only claim A16 into filed evidence."}, {"forms": ["10-Q", "10-K", "EX-10"], "why": "First-lien net leverage and fixed-charge covenant levels; hard exit above 2.5x first-lien net."}, {"forms": ["8-K"], "why": "Any guidance revision - FY26 was already cut 2026-08-06 from $865-895M to $825-855M."}, {"forms": ["SC 13D", "SC 13G/A"], "why": "Activist accumulation into a 21.5%-short float with a shrinking share count."}], "catalyst_dates": [{"date": "2026-11-05", "what": "Q3 2026 earnings print - vendor-derived date, no company release names it; treat as +/-3 sessions.", "confirmed": false}, {"date": "2026-12-31", "what": "Outside date for ASR final settlement per the 8-K ('no later than the fourth quarter of 2026').", "confirmed": true}, {"date": "2027-01-23", "what": "Teva's contracted licensed entry date for generic BELBUCA (2018 BDSI settlement) - the fork; 28.9% of revenue.", "confirmed": true}, {"date": "2027-04-12", "what": "BDSI v. Alvogen trial, D. Del. - INFRINGEMENT of the '539 patent by Alvogen's reformulated film (validity already upheld).", "confirmed": true}, {"date": "2028-12-04", "what": "Approximate expiry of the 30-month stay triggered by Ascent's 2026-06-04 Paragraph IV notice on the '539 patent.", "confirmed": false}], "immediate_entry": null, "unverified": [{"item": "Whether any buprenorphine buccal-film ANDA (Teva's in particular) holds FINAL FDA approval - the hard gate the entire position rests on.", "instrument": "Drugs@FDA / openFDA ANDA application records for buprenorphine buccal film; cross-check FDA first-generic list", "drainable_now": true, "estimate": null}, {"item": "Exchange-official average daily volume, short interest, days-to-cover and borrow availability - all current figures are vendor data.", "instrument": "IBKR search_contracts + get_price_snapshot (permission-denied 3 sessions running; needs an interactive session)", "drainable_now": false, "estimate": {"range": "ADV 740k-1.00M shares; short interest 18-25% of float; days-to-cover 9-12", "basis": "stockanalysis.com/fintel vendor prints (869,787 ADV; 6.52M shares = 21.49% of a 30.35M float; 10.68 DTC) widened +/-15% for vendor-vs-exchange drift", "p": 0.8}}, {"item": "Options chain: strike-level midpoint implied volatility, IV percentile, and real quotes on the Jun-2027 25/30/35 calls; and realized vol for the VRP.", "instrument": "IBKR get_option_parameters + get_option_data + get_price_snapshot (chain-level midpoint IV only, never the aggregate underlying feed)", "drainable_now": false, "estimate": {"range": "45-65% chain midpoint IV at ~10 months; our scenario table implies 52.7%", "basis": "levered small-cap specialty pharma with a dated exclusivity fork <6 months out; sigma_table/sqrt(T) as the internal anchor", "p": 0.6}}, {"item": "BELBUCA authorized-generic agreement - counterparty, terms and economics; exists only in the Q2 earnings call, absent from the 10-Q.", "instrument": "FY26 10-K (~late Feb 2027) or an 8-K/EX-10 naming the partner; partner-side press release", "drainable_now": false, "estimate": {"range": "an AG agreement exists in some form; partner economics 15-25% of branded net", "basis": "management's stated 10-15%/20-25% range checked against the industry AG-split base rate", "p": 0.65}}, {"item": "XTAMPZA ER Q2 -14.4%: unit-volume loss vs net-price loss (our thesis's own stated must-verify; MD&A declines to decompose).", "instrument": "CMS State Drug Utilization Data units-reimbursed, ~2-quarter lag (Q2-26 units land ~Q4-26/Q1-27)",

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"drainable_now": false, "estimate": {"range": "unit erosion -4% to -6% y/y",
"basis": "4.6 of the 14.4 points verified as prior-year rebate timing;
remaining ~9.8 points split 60/40 price/volume per branded-opioid comps",
"p": 0.55}}, {"item": "Whether a Paragraph IV challenge has already been
served on AZSTARYS (NCE lapsed 2026-05-07, five days before the $706.3M
close) or on JORNAY PM.", "instrument": "FDA Paragraph IV certifications list
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complaint – notices are private until the sponsor acts", "drainable_now":
false, "estimate": {"range": "p ~0.30 that a notice is already served and not
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{"item": "Credit-agreement covenant thresholds and step-downs (we computed
1.58x first-lien net but not the maximum permitted level).", "instrument":
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"drainable_now": true, "estimate": null}, {"item": "Confirmed Q3 2026
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ADJUDICATION STAMP

ADJUDICATION 2026-09-04 (FABLE): STARTER 0.4% STAGED — 159 @ ≤\$23.55 (instr 105).

Blue's hard gate DRAINED CLEAR by the adjudicator at Drugs@FDA: no buprenorphine-only buccal-film (Belbuca) generic holds final approval — every existing buccal-film ANDA is a Suboxone-class combo, and red's binding Jan-2027 date rested on a nonexistent approval. Add to 0.8% on the next ASR-settlement dip. Tripwires: any BELBUCA/JORNAY/AZSTARYS Paragraph-IV 8-K; first-lien net leverage >2.5x. Vendor short-data must be re-verified exchange-official before any size above 0.4%. Batch ruling:

desk/data/court_artifacts/LIFESCI_BATCH_ADJUDICATION_202609042100.md

SCIENCE BRIEF DIGEST (retrofit — deck generated pre-validator)

Source: COLL_SCIENCE_202609041738.md

1. CLAIM LEDGER

4. MEASUREMENT TRAPS

1. **The thesis mixes a six-month growth rate against a quarterly decline rate.** “Xtampza –14.5% / Jornay +38.9%” pairs XTAMPZA's **Q2** decline (–14.4%) with JORNAY's **six-month** growth (+38.9%). Matched: Q2 is –14.4% vs +41.2%; six-month is –4.5% vs +38.9%. Any bench arguing about deceleration must pick one basis. ([R9.htm](#))
2. **“Nucynta is 25.1% of revenue” is not the Q2 mix.** On Q2 2026 filed revenue the franchise (IR + ER + both AGs) is 35,215/199,878 = **17.6%**; BELBUCA is **28.9%**, JORNAY 23.0%, XTAMPZA 22.5%, AZSTARYS 6.5% on a ~7-week stub. A trailing-twelve-month basis will give a different, higher Nucynta share. State the basis.
3. **AZSTARYS's \$12.9M is ~7 weeks (May 12 – June 30), not a quarter.** Annualising it is wrong in both directions; the company's own FY guide is \$65–75M.

4. **AG revenue is not comparable to branded revenue.** The \$5.1M of AG revenue is a blend of product-material sale plus an *estimated* profit share, on a product netting ~10–15% (IR) / ~20–25% (ER) of branded net price. Unit erosion and revenue erosion are therefore not the same number, and the “estimated” profit share is a management accrual subject to true-up.
 5. **The XTAMPZA –14% contains a ~\$2.4M prior-year rebate-timing benefit** — roughly 4.6 points of the 14.4-point decline is comparison artifact, not current-period demand. Neither the filing nor the call decomposes the remainder into volume vs net price.
 6. **Gross-to-net regimes differ by product and are not disclosed per product** (only JORNAY PM’s “mid-60%” was given). Comparing net-revenue trends across BELBUCA, XTAMPZA and JORNAY is comparing three different GTN regimes, not three demand curves. The six-month GTN rollforward is further distorted by \$45.9M of rebate liability *assumed in the acquisition* and by prior-period adjustments of –\$3.7M (rebates) and –\$6.4M (returns). ([R9.htm](#))
 7. **Orange Book expiry ≠ loss of exclusivity.** BELBUCA’s OB date is 2032-12-21; the operative date is the **2027-01-23** contractual Teva entry. XTAMPZA’s OB date is 2036-09-02; the operative date is **2033-09-02**. Both operative dates are in settlement agreements, not the Orange Book. Any patent-cliff model built off Orange Book dates alone will be wrong on the two largest pain products.
 8. **The ’539 C_{max} limitation and the label PK are different estimands.** Claim 1 recites a **steady-state** C_{max} window of 0.156–0.364 ng/mL. The label reports **single-dose** C_{max} (0.17 ng/mL at 75 mcg, 0.47 at 300 mcg, 1.43 at 1200 mcg) and states only that steady state is reached before the 6th dose with dose-proportional C_{max} — it gives no per-strength steady-state C_{max} table. Whether the claimed window covers the whole marketed 75–900 mcg q12h ladder therefore **cannot be resolved from the label**, and a bench should not assert it either way. (Claim 9, the second independent claim, was not retrieved.)
 9. **Drug-liking scores are not cross-comparable between products.** XTAMPZA’s intranasal E_{max} of 61.81 was measured against **crushed IR oxycodone** (82.72) in a 39-subject study with that study’s own subject pool and dose equivalence. It is not comparable to OxyContin’s or RoxyBond’s published liking scores from different studies with different comparators, doses and populations.
 10. **JORNAY PM dose is not exposure.** At an identical 54 mg dose, C_{max} is 11.6 (children), 7.2 (adolescents), **6.0 ng/mL (adults)**. Any argument about adult uptake that reasons from mg-dose or from pediatric trial results without the ~2x exposure gap is mismatched.
 11. **TRx growth ≠ revenue growth.** JORNAY PM TRx +13.1% against revenue +41.2% in the same quarter. The gap is price/mix/GTN/channel and possibly inventory, not demand — and the same wedge, inverted, may be operating on XTAMPZA.
 12. **Simtriyo’s Phase 3 endpoints (AISRS in adults, ADHD-RS-5 in children) are not the endpoints in JORNAY PM’s trials (SKAMP analog-classroom, ADHD-RS-IV, PREMB-R AM).** Cross-trial effect-size comparison between these products is not supportable; JORNAY’s differentiating endpoints are explicitly *early-morning* measures with no counterpart in the Simtriyo program.
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5. DATED TECHNICAL CATALYSTS

Date	Event	Confirmation	Independently verifiable?
2026-11-05	Q3 2026 print	derived (yfinance) — no company PR names it	No — vendor-derived
2026 H2, date TBD	Simtriyo (centanafadine) US launch, pending DEA scheduling	guided , sponsor PR	Yes (DEA scheduling is a Federal Register action)
2027-01-23	Teva licensed entry for generic BELBUCA (“or earlier under certain circumstances”)	date-confirmed in the 2018 BDSI 8-K	Yes, but conditional : launch requires FDA final approval of Teva’s ANDA, which I could not confirm exists
2027-04-12	BDSI v. Alvogen trial, D. Del. — ’539 infringement by Alvogen’s reformulated film	date-confirmed in the Q2 2026 10-Q	Yes — PACER/CourtListener docket
~2028-12 / 2029-01	Expiry of the 30-month stay on Ascent’s BELBUCA ANDA (notice 2026-06-04, suit 2026-07-16)	derived from the statutory 30-month period	Yes — docket + Orange Book
2028-04-21 / 2028-09-22 (+PED to 2028-10-21 / 2029-03-22)	Grünenthal NUCYNTA ER patent expiries	date-confirmed , Orange Book	Yes
2032-03-23	All JORNAY PM Orange Book patents expire	date-confirmed , Orange Book	Yes
2032-12-21	’539 expiry (BELBUCA)	date-confirmed , Orange Book	Yes
2033-09-02	Teva licensed entry for generic XTAMPZA ER	date-confirmed , 2020 Collegium 8-K	Yes
2037-12-09	Latest AZSTARYS Orange Book patent expiry	date-confirmed , Orange Book	Yes
Undated	Grünenthal v. Collegium/Hikma, D.N.J. (filed 2026-02-02) — no scheduled date disclosed	—	Yes — docket
Undated	Knoa Pharma (’434) XTAMPZA suit; Purdue NUCYNTA suit stayed by bankruptcy	—	Yes — docket
Passed, consequence pending	AZSTARYS NCE exclusivity expired 2026-05-07; P-IV ANDAs fileable since 2025-05-07. No notice has been disclosed	date-confirmed , Orange Book	Yes — a P-IV notice would surface in an 8-K/10-Q

Flag: the one catalyst that is *not* independently registered is the BELBUCA authorized-generic response (A16). Management asserts an AG agreement exists; no counterparty, filing, or FDA application supports it. Treat it as a company statement, not a scheduled event.
